4. India relies heavily on the corporate tax, and has double taxation of the corporate form. In the last decade, corporate income tax and the dividend distribution tax added up to 35 per cent of total tax collection. The double taxation induces firms to organize themselves as partnerships and proprietorships. Production and corporate structures are placed outside India in order to avoid Indian company taxation. These behavioural distortions drive up the MCPF.
5. There is the compliance cost by taxpayers and tax collectors, which is a pure deadweight cost. Raids and litigation by tax collectors intrude upon the mind space and imposes costs upon private persons. Costs are imposed upon society by illegality and criminality owing to corruption in the tax system. When some firms get away with tax evasion, this changes the incentives of ethical firms to invest, which imposes enormous costs upon society as the most ethical firms are often the highest-productivity firms. As India has one of the highest tax compliance costs in the world, we would be likely to have a high value for the marginal cost of public funds.
6. When we do not have a simple single-rate tax system, this has adverse consequences for GDP. For example, if there was only one customs duty (say, 5 per cent), this is much better than having different rates. Similarly, 80 per cent of the countries which introduced the Goods and Services Tax (GST) after 1995 have opted for a single rate GST. In India, various pressure groups lobby for higher or lower taxes on one industry or another, and this distorts the resource allocation of the economy. This drives up the MCPF.
7. At the margin, public spending is actually financed out of deficits which constitute deferred taxation, intermediated through the processes of public debt management. Hence, in thinking about the MCPF, we must think about deficits and their financing also. Additional costs to society appear here, as we in India do financial repression (some financial firms are forced to buy government bonds), and have many mistakes in how public debt management is organized.